O.P. JINDAL GLOBAL

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BUSINESS ECONOMICS

End-term Exam Assignment

Question A: Evolution of Netflix's Pricing Strategies in the U.S.

Netflix's pricing approach has undergone a radical change from what it was at the time of its establishment in 1998. From the onset, Netflix just mirrored bricks-and-mortar movie renting stores where each DVD went at $4, including a $2 shipment fee and a spectacular late fee. The limited number of customers it had did not allow this business model to grow. Eventually, in 1999, Netflix switched to a subscription model, charging $19.95 per month for unlimited DVD renting with no late fees (Ofek et al., 2020, p. 2. It laid the foundation for the value-driven pricing model.

In the early 2000s, the company participated in a pricing battle against other companies, such as Blockbuster and Wal-Mart, lowering monthly costs for users to be able to compete in the film industry (Ofek et al., 2020, pp. 3–4). Netflix included streaming in its collection of DVDs in 2007. By 2010, the company had introduced a phone plan for USD 7.99 on DVDs leading to rapid detachment from the film industry (Ofek et al., 2020, p. 4).

The last time Netflix implemented a pricing change proved controversial – back in 2011, when it split its DVD service out from its streaming service and made customers pay for each service individually. This amounted to a 60% increase in price for many customers and led to the loss of approximately 800,000 subscribers (Ofek et al., 2020, p. 5). Suggesting that the market forced Netflix to make the decision to adopt a more fine-grained pricing model, Netflix rolled out a differentiated pricing schedule although not without criticism according to (Ofek et al., 2020, p. 7), Netflix eventually implement tiered plans known as Basic, Standard, and Premium, which allowed the customer to choose the video quality and number of simultaneous streams they wanted.

In the five years between 2017 and 2022 alone, Netflix had hiked prices four times, Standard to $15.49, and Premium to $19.99 (Ofek & Klopfenstein, 2023, p. 1). Those increases were meant to offset increased costs related to investing in original content and expanding the platform. Netflix's latter-day approach, compared to its former defensive pricing strategy, is more offensive style and is an example of VBP in a head-to-head with other streaming players.

Question B

1. Market Share Calculation (Exhibit 2, Sequel)

To calculate market share, we assume the total market = sum of all subscribers including Apple TV+ (20 million):

- Netflix: 222M
- Disney+: 118M
- Apple TV+: 20M
- HBO Max: 74M
- Hulu: 50M
- Amazon Prime Video: 175M
- Peacock: 25M
- Paramount+: 56M
- Discovery+: 22M

Total = 222 + 118 + 20 + 74 + 50 + 175 + 25 + 56 + 22 = **762 million**

Now compute market share:

- **Netflix**: (222 / 762) × 100 ≈ **29.1%**
- **Disney+**: ≈ 15.5%
- **Apple TV+**: ≈ 2.6%

- **HBO Max**: ≈ 9.7%
- **Hulu**: ≈ 6.6%
- **Amazon Prime Video**: ≈ 23.0%
- **Peacock**: ≈ 3.3%
- **Paramount+**: ≈ 7.3%
- **Discovery+**: ≈ 2.9%

(Ofek & Klopfenstein, 2023, p. 4).

2. Market Structure Identification

Monopolistic competition is almost entirely characteristic of the industry: number of firms and the existence of many firms, differentiated products, varying in subscription models, pricing tiers, and content libraries. While all firms have limited price-setting power, they face highly competitive pressure from several close substitutes. Having said that, there are several close alternatives with exclusive content Marvel from Disney, or Game of Thrones from HBO, so a few companies can control the market entirely (Ofek & Klopfenstein, 2023, p. 3).

3. Elasticity of Demand for Netflix's Standard Plan

The elasticity of demand for Netflix's Standard Plan is **inelastic**. While the business has raised the price for the Standard Plan from $13.99 to $15.49 in 2022, the number of subscribers has never dropped while increasing in many of these years (Ofek & Klopfenstein, 2023, p. 1). This means that customers find the company's content and user experience so valuable that they are indifferent to some price changes, especially when they have a chance to divide the sum between family members.

Question C: Special Pricing Strategies

Netflix uses several **special pricing strategies** to target different market segments and maximize revenue. One of them is **versioning** being by itself offering three primary memberships: Basic ($9.99), Standard ($15.49), and Premium ($19.99), that differ in video quality and number of screens (Ofek & Klopfenstein, 2023, p. 1).

A second is **price shielding**, when Netflix insulated existing customers from price increases in the past for a period, for example, the 2014–2016 price increase only affected newly signups at first (Ofek et al., 2020, p. 7).

More subtly, Netflix has turned to **bundling and partnerships**. For example, the collaboration with T-Mobile was a case where the wireless provider offered Netflix together with a phone line at a lower price later, Ofek et al. report. As a recent development, the platform has started testing **paid password sharing**, where its users can add non-household members for 2–3 $ in a pilot, hoping to convert a few freeloaders into paying ones (Ofek & Klopfenstein, 2023, p. 2).

Lastly, Netflix has also shown interest in **tiered advertising models**, just like their rivals Hulu and Peacock successfully use, which is a significant change from its previous ad-free philosophy (Ofek & Klopfenstein, 2023, pp. 3–4).

Question D: Future of the Streaming Industry

So, it would make sense in the future for the streaming industry to shift more and more to the said **tiered pricing models** with an emphasis on **ad-supported tiers** in the years to come. Reinforcing that consumer price sensitivity and success of advertising revenue for competitors such as Disney+ and HBO Max are shaping the industry is Netflix's 2022 pivot to potentially adopt an advertising-supported model after years of ignoring the possibility (Ofek & Klopfenstein, 2023, p. 3–4).

Moreover, **revenue diversification** through advertising, merchandise, games and international content licensing will expand." For example, Netflix' s venture into mobile gaming (for example, Stranger Things games) points to efforts to create ecosystems around its IP (Ofek & Klopfenstein 2023, p 2).

Content strategy will remain paramount. Since more and more rivals take back their content to distribute it via in-house platforms, Netflix, and others will have to spend more on **original programming**. However, the success of global hits like Squid Game has proved the effectiveness and necessity of high-quality original content (Ofek & Klopfenstein, 2023, p. 1).

Finally, **Bundling**, as more and more consumers suffer from "subscription fatigue". Aggregators or platform bundles, including three Disney platforms, may simplify the user experience and decrease churn (Ofek et al., 2020, p. 10).

References:

Ofek, E., Bertini, M., Koenigsberg, O., & Klopfenstein, A. (2020). *Pricing at Netflix* (HBS No. 521-004). Harvard Business School.

Ofek, E., & Klopfenstein, A. (2023). *Pricing at Netflix: The Sequel* (HBS No. 523-015). Harvard Business School.

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